exchange-traded funds, index-linked securities and other exchange-traded structured products, and narrow and broad-based index options.[166]

As expressed in the Rule 19b-4(e) Adopting Release, the Commission adopted Form 19b-4(e) in order for the Commission to maintain an accurate record of all new derivative securities products traded on the SROs in order to notify the Commission when an SRO begins to trade a new derivative securities product not required to be submitted as a proposed rule change to the Commission for approval.[167] The Commission also stated that it would make Forms 19b-4(e) public.[168] At the time of the adoption of Rule 19b-4(e), the Commission estimated the new rule would eliminate approximately 45 SRO rule filings each year,[169] and the information regarding new derivative securities products required pursuant to Rule 19b-4(e) was required to be submitted using a paper Form 19b-4(e).

3. Previous Requirements for Filing Form 19b-4(e)

Under Rule 19b-4(e)(2)(ii) prior to these amendments, SROs were required to submit Form 19b-4(e)[170] to the Commission within five business days after commencement of trading a

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166 See, e.g., Exchange Act Release Nos. 42787 (May 15, 2000), 65 FR 33598 (May 24, 2000) (SR-Amex-2000-14) (approving generic listing standards for exchange traded funds called Portfolio Depositary Receipts and Index Fund Shares); 45718 (Apr. 9, 2002), 67 FR 18965 (Apr. 17, 2002) (SR-NYSE-2002-07) (approving generic listing standards for Trust Issued Receipts); 55687 (May 1, 2007), 72 FR 25824 (May 7, 2007) (SR-NYSE-2007-27) (approving generic listing standards for Index-Linked Securities); 48405 (Aug. 25, 2003), 68 FR 52257 (Sept. 2, 2003) (SR-ISE-2003-05) (approving generic listing standards for narrow-based index options); 78397 (June 22, 2016), 81 FR 49320 (July 27, 2016) (SR-NYSEArca-2015-110) (approving generic listing standards for Managed Fund Shares); and 88566 (Apr. 6, 2020), 85 FR 20312 (Apr. 10, 2020) (SR-CboeBZX-2019-097) (approving generic listing standards for Exchange-Traded Fund Shares).

167 See Rule 19b-4(e) Adopting Release, 63 FR at 70963.

168 See id. at 70964 n.139 ("Form 19b-4(e) will be publicly available through the Commission's Public Reference Room. In addition, the Commission will endeavor to make the Forms available on the Commission's web site.").

169 See Rule 19b-4(e) Adopting Release, 63 FR at 70964.

170 See 17 CFR 249.820.

new derivative securities product.[171] In addition, pursuant to the instructions for completing Form 19b-4(e), SROs were required to submit an original and nine paper copies of a duly executed Form 19b-4(e) with the Commission.[172]

4. Rescission of Form 19b-4(e)

The Commission is amending Rule 19b-4 to rescind Form 19b-4(e) and instead require SROs to post on their internet websites the information previously included on Form 19b-4(e) as proposed. More specifically, an SRO will be required to post on its public internet website, within five business days after commencing the trading of a new derivative securities product, the information required in current Part I, Items 2 through 9 of Form 19b-4(e) for that product:[173] (a) type of issuer of new derivative securities product (e.g., clearinghouse, broker-dealer, corporation, etc.); (b) class of new derivative securities product; (c) name of underlying instrument; (d) if the underlying instrument is an index, state whether it is broad-based or narrow-based; (e) ticker symbol(s) of new derivative securities product; (f) market(s) upon which securities composing the underlying instrument trade; (g) settlement methodology of new derivative securities product; and (h) position limits of new derivative securities product (if applicable). This information must be provided using the most recent versions of an XML schema and the associated PDF renderer that will be published on the Commission's website.[174]

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171 See Rule 19b-4(e)(2)(ii). Although Rule 19b-4(e) relates to the listing and trading of new derivative securities products by SROs, the only SROs that list and trade new derivative securities products and file Forms 19b-4(e) to the Commission are national securities exchanges.

172 See Items II and III of the Instructions for Completing Form 19b-4(e), 17 CFR 249.820.

173 Part I, Item 1, "Name of Self-Regulatory Organization Listing New Derivative Securities Product," will not be necessary to include because the table of new derivative securities products will be on the website of the SRO that has listed and is trading the new derivative securities product, so the identity of the listing SRO will be self-evident. The Commission also is making technical amendments to remove an extraneous "s" at the end of "trade" and to replace "comprising" with "composing" in the text of Rule 19b-4(e)(2)(ii)(F).

174 See 17 CFR 240.19b-4(e)(2)(ii), as amended.

This information generally should be available at a prominently posted hyperlink on the SRO's website that is free and accessible (without any encumbrances or restrictions) by the general public.

As was previously required in Part II of Form 19b-4(e), an SRO is required to provide on its website a representation by a duly authorized SRO official that the governing body of the SRO has duly approved, or has duly delegated its approval to such official for, the listing and trading of the new derivative securities product according to its relevant trading rules, procedures, surveillance programs, and listing standards to assure that such products are being listed and traded in accordance with the SRO's obligations under Rule 19b-4(e), as well as an email address to contact that official. The requirement to provide an email address for the SRO contact employee should expedite communications between Commission staff and the relevant SRO. Any SRO that relies on Rule 19b-4(e) to list and trade a new derivative securities product continues to be subject to Rule 19b-4(e)(2)(i), which requires the SRO to maintain at its principal place of business a file, available to Commission staff for inspection, of all relevant records and information pertaining to each new derivative securities product traded pursuant to Rule 19b-4(e) for a period of not less than five years, the first two years in an easily accessible place, as prescribed in Rule 17a-1 under the Exchange Act.[175] Thus, the SRO trading a new derivative securities product needs to maintain the relevant records and information regarding the new derivative securities product to comply with the recordkeeping and reporting requirements of Rule 19b-4(e). As under the previous rule, and as contemplated in the adoption of the current rule, the Commission will review SRO compliance through its routine inspections of SROs.[176]

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175 See 17 CFR 240.17a-1.

176 See Rule 19b-4(e) Adopting Release, 63 FR at 70963.

The electronic filing requirement should provide the same information for the Commission and the public as was previously provided by Form 19b-4(e) without necessitating the additional steps of submitting a paper form containing that information with the Commission. Among other benefits, electronic filing should increase efficiencies and decrease costs related to both the submission of Form 19b-4(e) by an SRO and the Commission's processing of submitted Forms 19b-4(e). As discussed above, since the Commission adopted Rule 19b-4(e), technology has evolved significantly and the internet has played an increasingly vital role in information distribution.[177] During this period, the Commission has encouraged the dissemination of information electronically via the internet and other automated systems and services.[178] In addition, the Commission now receives thousands of Forms 19b-4(e) per year from the SROs, rather than the 45 per year as stated in the Rule 19b-4(e) Adopting Release, each of which is submitted to the Commission and then must be made public individually by the Commission,[179] and therefore the submissions require, in the aggregate, additional time to process before the information contained in those Forms becomes available for Commission review and also publicly available.[180] Requiring SROs to post the information contained in the current Form 19b-4(e) on their websites accomplishes the goal outlined in the Rule 19b-4(e) Adopting Release, for the Commission to maintain accurate information regarding these new derivative securities products, while ensuring that information remains publicly available.[181] In addition,

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177 See supra note 14.

178 Id. See also supra note 15.

179 See id. at 70964 n.139.

180 See FR Doc. 2022-17308, 87 FR 49894 (Aug. 12, 2022) (Request to OMB for extension of Rule 19b-4(e) and Form 19b-4(e); SEC File No. 270-447; OMB Control No. 3235-0504) (identifying 2,331 Forms 19b-4(e) submitted to the Commission based on the average annual number of Forms 19b-4(e) submitted in 2019, 2020, and 2021).

181 See Rule 19b-4(e) Adopting Release, 63 FR at 70963, 70964 n.139.

requiring SROs to post that information within 5 business days after commencement of trading a new derivative securities product, as the previous rule required, will continue to allow the Commission to determine that an SRO has properly relied on the rule and continue to do so in a timely fashion.[182] This is appropriate given the large number of Forms 19b-4(e) that are submitted currently as well as the nature of the information contained in those Forms, which is highly standardized. Providing that information on the relevant SRO's publicly available website renders that information more readily accessible to both the Commission and the public than submitting numerous Forms 19b-4(e) had done previously and has the added benefit of eliminating the two-step process of an SRO submitting a Form 19b-4(e) and then that Form being made public through the Commission. In addition, because that information is subject to the relevant SRO's books and records obligations[183] and subject to the Commission's examination and inspection authority,[184] the accuracy of the records for Commission review is commensurate with the accuracy of the information on the Forms 19b-4(e) submitted to the Commission under the previous rule.

One commenter, who agreed with requiring Form 19b-4(e) to be prepared in machine-readable form, stated that Forms 19b-4(e) should instead be submitted to EDGAR (or, alternatively, that the Commission or another party should create a registry where links to these documents can be posted).[185] The commenter stated that this would facilitate use for market participants, who would be able to collect all needed data in one location rather than set up

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182 See 17 CFR 240.19b-4(e)(2)(ii).

183 See 17 CFR 240.17a-1.

184 See Rule 19b-4(e) Adopting Release, 63 FR at 70963.

185 See XBRL Letter at 6.

mechanisms to track new form postings on multiple websites.[186] The commenter stated that such an approach would be unlikely to increase the reporting burden for SROs.[187]

The Commission disagrees that the 19b-4(e) information should be submitted to EDGAR rather than posted to SRO websites. The Commission receives thousands of Forms 19b-4(e) per year from the SROs and expects that the products subject to Rule 19b-4(e) will continue to number in the thousands going forward. In addition, the information to be provided under Rule 19b-4(e) is limited to no more than eight basic information items, including ticker symbol, type of issuer, and whether the underlying instrument is a broad or narrow-based index. Given the quantity of these products and the limited set of information required to be provided under Rule 19b-4(e) for each new product, requiring EDGAR submission for each of these products would be an unduly burdensome process compared to SRO website posting, which will provide a readily accessible interface for market participants to access this data without necessitating submission to EDGAR. Similarly, a registry of links would add an unnecessary layer of complexity in making the information publicly available when many market participants are already familiar with accessing SROs' public websites, such as those the SROs would have in place under the amended rule. For these reasons, the amended rules do not include a requirement to centrally submit Rule 19b-4(e) information to EDGAR, nor do they require the creation of a registry of links to Rule 19b-4(e) postings.

The same commenter also stated that XBRL should be used in place of custom XML for the Rule 19b-4(e) information.[188] According to the commenter, an XBRL requirement for the

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186 See id.

187 See id.

188 See id.

Rule 19b-4(e) information would improve accessibility to the data because it can be extracted by the same tools used for other reported data prepared in XBRL, and where derivatives are reported in other filings by SEC reporting entities, the data (which includes facts that are already defined as concepts in other taxonomies) may be easily linked and interoperable.[189] The Commission disagrees with the commenter that XBRL is more suitable than custom XML for the Rule 19b-4(e) information. While XBRL is particularly suitable for financial statements and extended narrative disclosures, custom XML is comparably suitable for the discrete set of brief text strings that Rule 19b-4(e) requires, and results in smaller file sizes and therefore more efficient data processing than XBRL does. The rule amendments require custom XML rather than XBRL for the Rule 19b-4(e) information because the more efficient data processing enabled by custom XML justifies forgoing the XBRL interoperability benefit that the commenter describes.

Finally, the same commenter encouraged the use of the Legal Entity Identifier ("LEI") for the entity responsible for the derivative product and a Financial Instruments Global Identifier ("FIGI") for the derivative identifier.[190] The commenter stated that these two identifiers are both open, non-proprietary identifiers (for legal entities and securities, respectively), and would be extremely helpful for data users in evaluating business and investment risk.[191] The Commission does not disagree that the LEI and the FIGI would provide benefits for the open and precise

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189 See id.

190 See id.

191 See id. Another commenter specifically stated that the Commission should require LEI to be disclosed on the notices that Exchange Act Rule 15fi-3(c) requires, because structured data is more useful when it contains a consistent identifier, like the LEI, instead of varying names or identifiers. According to the commenter, the absence of an LEI requirement on the notices will lead to inconsistent submissions that lack comparability. See Letter from Stephan Wolf, CEO GLEIF (May 22, 2023) ("GLEIF Letter"). The Commission responds to this comment in a subsequent section of this release. See infra section V.C.2.

identification of legal entities and securities disclosed pursuant to Rule 19b-4(e). However, the Commission is not modifying the content of Form 19b-4(e) to include an LEI or FIGI requirement under the amended rules because such changes are beyond the scope of the amendments which are intended to provide for eliminating paper submission of the information provided on Form 19b-4(e), rather than making changes to information required to be disclosed such as the replacement or supplementation of SRO names and ticker symbols for new derivatives securities products with LEI or FIGI requirements.

Thus, for the reasons discussed above, the Commission is rescinding Form 19b-4(e) and is adopting the amendments to Rule 19b-4(e) as proposed.

F. Rule 19b-4(j) and Form 19b-4

1. Relevant Statutory Framework

Section 19(b) of the Exchange Act, as amended, requires each SRO to file with the Commission, in accordance with such rules as the Commission may prescribe, copies of any proposed rule, or any proposed change in, addition to, or deletion from the rules of such SRO (collectively, a "proposed rule change") accompanied by a concise general statement of the basis and purpose of such proposed rule change.[192] Rule 19b-4, subject to certain exceptions, requires an SRO to submit each proposed rule change by electronically filing Form 19b-4.[193]

2. Rule Change

The Commission is adopting the rule change as proposed to remove the requirement under 17 CFR 240.19b-4(j) ("Rule 19b-4(j)") that the signatory to an electronically submitted Form 19b-4 manually sign a signature page or other document authenticating, acknowledging, or

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192 See 15 U.S.C. 78s.

193 See 17 CFR 240.19b-4(b).

otherwise adopting his or her signature that appears in typed form within the electronic filing, execute that document before or at the time the rule filing is electronically submitted, and retain that document for its records in accordance with Rule 17a-1. The Commission also is removing the related language in Form 19b-4 and the instructions to Form 19b-4 that a duly authorized officer of the SRO manually sign one copy of the completed Form 19b-4 and that the manually signed signature page be maintained pursuant to section 17 of the Exchange Act.[194] These amendments are appropriate because the manual signature requirement under Rule 19b-4 is redundant and therefore unnecessary given that Form 19b-4, which is filed electronically, already requires an electronic signature.[195] The comments the Commission received on these amendments to Rule 19b-4, Form 19b-4, and the related instructions were generally supportive of these amendments.[196]

G. Conforming Technical Amendment to Rule 202.3(b) under the Exchange Act

As discussed above, the Commission is making a technical amendment to conform its Informal and Other Procedures to the changes herein to Rules 6a-1, 6a-2, and 6a-3 with respect to Form 1 filings and to Rule 6a-4 with respect to Form 1-N filings, as proposed. Specifically,

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194 This amendment is for purposes of filing with the Commission only and does not affect the requirements with which certain SROs subject to oversight by other regulatory agencies must continue to comply. Currently, under Section F of the instructions to Form 19b-4, a registered clearing agency for which the Commission is not the appropriate regulatory agency also shall file with its appropriate regulatory agency three copies of the form, one of which shall be manually signed, including exhibits. A clearing agency that also is a designated clearing agency shall file with the Federal Reserve three copies of any form containing an advance notice, one of which shall be manually signed, including exhibits; provided, however, that this requirement may be satisfied instead by providing the copies to the Federal Reserve in an electronic format as permitted by the Federal Reserve. The Municipal Securities Rulemaking Board ("MSRB") also shall file copies of the form, including exhibits, with the Federal Reserve, the Comptroller of the Currency, and the Federal Deposit Insurance Corporation. These requirements, all promulgated pursuant to 15 U.S.C. 78q(c)(1), remain in effect.

195 The Commission also is making a technical amendment to replace "comprising" with "composing" in the text of Rule 19b-4(j).

196 See, e.g., Letter from Michael Wichkoski (June 17, 2023) ("Wichkoski Letter"); OCC 5/22/2023 Letter; Letter from Lars Wohlfahrt (Apr. 17, 2023) ("Wohlfahrt Letter").

the Commission is making conforming changes to Rules 202.3(b)(2) and (b)(3) of its Informal and Other Procedures[197] to clarify that defective applications on Form 1 and notices on Form 1-N, respectively, must be returned to the Filer,[198] and must not be held by the Commission.[199] While Rules 202.3(b)(2) and (b)(3) currently permit the Commission to hold defective applications on Form 1 and defective notices on Form 1-N, holding such applications or notices serves no purpose, as defective Form 1 and Form 1-N filings do not contain sufficient information for the Commission and its staff to review such applications and notices.[200] In such situations, it is appropriate to return the defective filings to the Filers so that the Filers may correct the defective filings. Additionally, Rules 202.3(b)(2) and (b)(3)[201] are being amended to update the name of the Division of Trading and Markets from the previously used Division of Market Regulation.

III. Requirements for Clearing Agencies to Electronically File Covered Supplemental Materials

A. Preexisting Rule 17a-22

Prior to the amendments adopted in this release, preexisting Exchange Act Rule 17a-22 required that within 10 days after issuing, or making generally available, to its participants or to

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197 See 17 CFR 202.3(b)(2) and (3).

198 For purposes of this Rule, the Commission would return Form 1 and Form 1-N filings to Filers by deleting the application or notice from EDGAR and sending an email to the contact person notifying the Filer: (i) that the application or notice was deleted from EDGAR and thus is considered as being returned under Rule 202.3(b)(2) or Rule 202.3(b)(3), respectively, of the Commission's Informal and Other Procedures, as applicable; (ii) of the reason(s) for such return; and (iii) that, therefore, the application or notice is not considered filed with the Commission.

199 For purposes of this rule, an application on Form 1 or a notice on Form 1-N is deemed defective if: (i) it was not properly signed; (ii) it did not contain the required information, including exhibits; or (iii) the information provided was presented in a manner that would make it difficult for the Commission and its staff to conduct its review of the application or notice. See 17 CFR 249.1 and 249.10.

200 Id.

201 See 17 CFR 202.3(b)(2) and (3).